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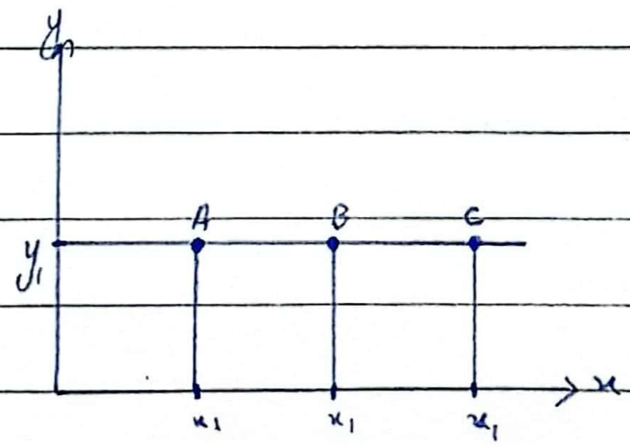
Properties of IC:-

Properties of indifference curve are as follows:-

i) An indifference curve slopes downward from left to right

Ind. C are negatively sloped from left to right.

It is because in order to keep the same level of satisfaction along the same I.C. when quantity of one good increased the quantity of other is decreased. Ind. C can we keep satisfaction same at various combinations of the curve if no then this cannot be an I.C.



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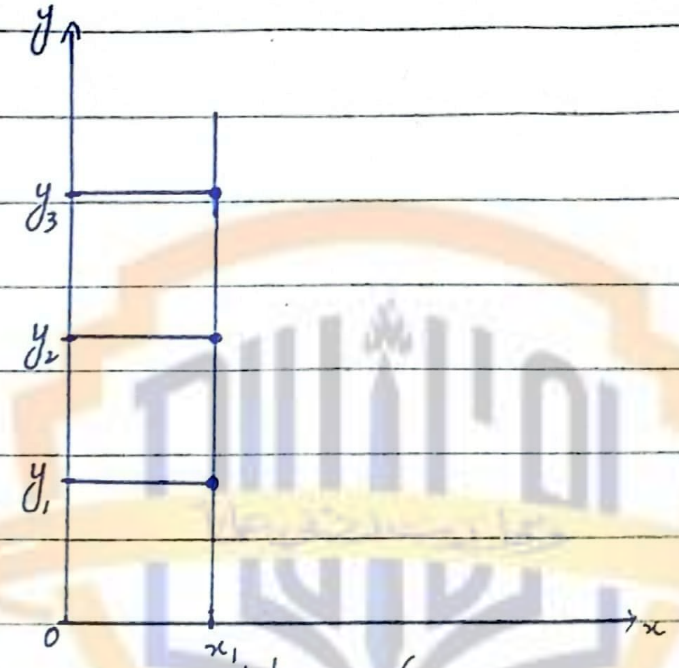
Here we are increasing x without losing y. Thus satisfaction will increases rather remaining same at point A, B and C.



Here quantity of y is increasing without losing x.

2. **Two I.C never intersect each other.**

It means that higher level of satisfaction can not be equal to lower level of satisfaction.

On IC_1 $A=C$, on IC_2 $B=C$

But it is not true because B is on higher I.C. than A So $A \neq B$.

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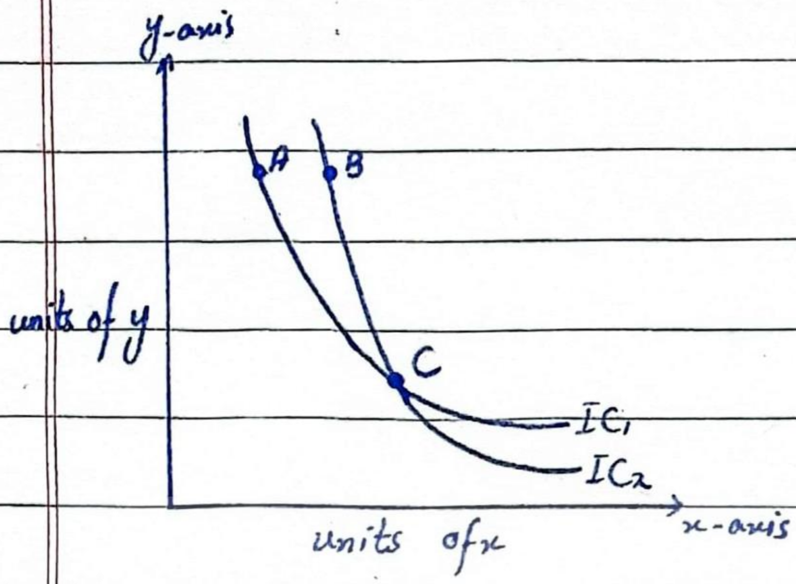
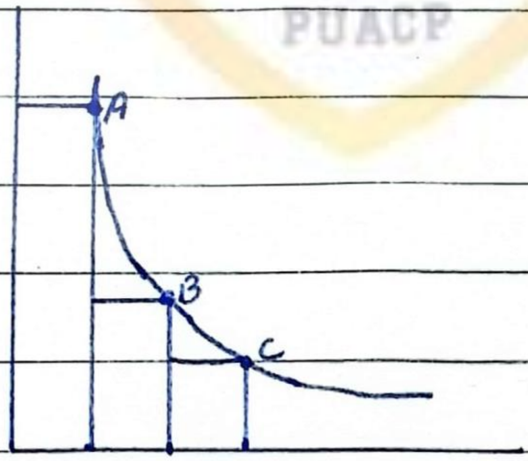


3. **Indifference curve are convex to the origin.**

The convexity of I.C is due to diminishing marginal rate of substitution between two goods. It is because of the principle that $MU = F(Q)$



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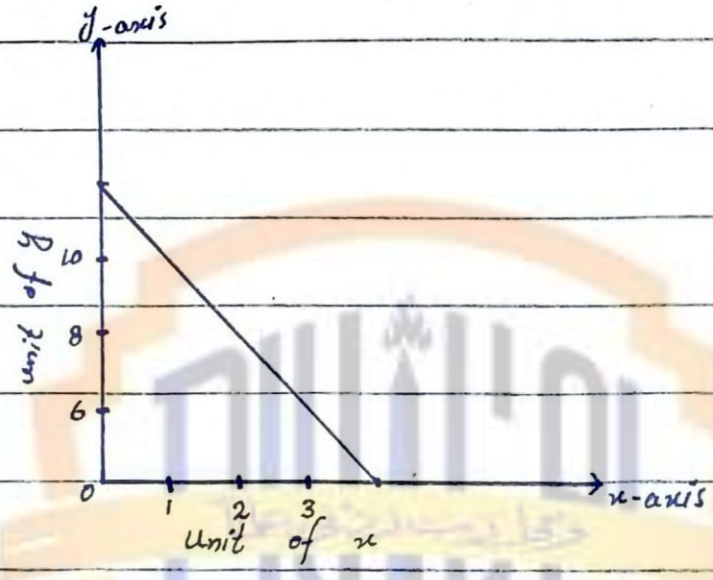
If I.C is straight line then MRS between x and y is constant. for one more x we are giving up two units of y at every combination.



If it is concave then MRS between x and y is increasing which is not practically possible.